

04 Aug 2026 07:35:04 ET | 18 pages

ON Semiconductor (ON.O)

“Beat & Raise” as AI Data Center Revenue Accelerates

CITI'S TAKE

ON delivered a “beat and raise” quarter and guided to above seasonal 3Q26 growth, driven by pricing and accelerating AI data center demand (~8% of 2Q26 revenue). ON expects its AI data center business to outgrow the market's projected 72% CAGR through 2030 and sees gross margins expanding through 2026 given improving utilization and mix. We adjust our C26/C27/C28 EPS estimates by 2%/0%/2%. We remain Neutral rated and adjust our price target to \$98 based on 16x C28 EPS, down from 19x to reflect lower market multiple. That said, **we reiterate our Positive Catalyst Watch ahead of ON's Analyst Day on September 16**, driven by the potential for incremental AI data center upside.

Strong 2Q26 results – ON reported 2Q26 revenue of \$1.60B, up 6% QoQ, above consensus of \$1.59B and seasonal growth of 3–4% QoQ, driven by strength in Data Center (10% of sales). Gross margin expanded 80 bps QoQ to 39.3%, above consensus of 39.0% driven by mix, and EPS of \$0.74 exceeded consensus of \$0.71. ON exited \$35M of non-core business in 2Q26, the final tranche of its non-core biz exit.

Guides 3Q26 above seasonality – ON guided 3Q26 sales of \$1.70 (up 6% QoQ), above consensus of \$1.68 billion (up 6% QoQ), above seasonality of up 4–5% QoQ. Gross margin is guided up 170 bps to 41.0%, above consensus of 40.3% driven by improved utilization. 3Q26 EPS is guided to \$0.89, above consensus of \$0.83.

Expect sequential gross margin expansion throughout 2026 – Utilization was 83% in 2Q26, up from 77% in 1Q26 and above prior expectations of high-70s%. Gross margins should continue to expand given revenue growth and improving utilization.

Pricing tailwind – ON implemented a second price hike to offset input costs, supporting stronger top-line growth over the coming quarters. Management expects pricing to remain elevated through 2027. Current manufacturing can support ~\$8.0B–\$8.8B of revenue before the price increases.

AI data center growth of ~72% CAGR through 2030 – ON raised its AI data center TAM forecast to \$47.5B by 2030, implying a 72% CAGR, up from its prior estimate of \$12.2B and 40% CAGR. **ON believes it can outgrow the market**, leveraging its broad power portfolio spanning grid-to-core infrastructure. We model AI data center to increase from 8% of sales today to roughly 20% of sales by 2028.

EPS (US\$)	Q1	Q2	Q3	Q4	FY	FC Cons	VA Cons
2025A	0.54A	0.53A	0.63A	0.64A	2.34A	2.35A	2.35A
2026E	0.63A	0.72A	0.88E	0.92E	3.14E	3.10E	3.21E
Previous	0.63A	0.71E	0.86E	0.88E	3.07E	na	na
2027E	1.00E	1.11E	1.26E	1.28E	4.65E	4.32E	4.50E
Previous	0.91E	1.04E	1.35E	1.33E	4.64E	na	na
2028E	1.36E	1.51E	1.65E	1.59E	6.10E	5.85E	5.79E
Previous	1.23E	1.45E	1.69E	1.63E	6.00E	na	na

Source: Company Reports and dataCentral, Citi Research. FC Cons: First Call Consensus. VA Cons: Visible Alpha Consensus.

Click [here](#) for Visible Alpha consensus data

Neutral

Catalyst Watch: Upside, expires 13-SEP-26

Price (03 Aug 26 21:00) US\$86.36

Target price US\$98.00↓

from US\$120.00

Expected share price return 13.5%

Expected dividend yield 0.0%

Expected total return 13.5%

Market Cap US\$33,621M

Price Performance

(RIC: ON.O, BB: ON US)



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See Appendix A-1 for Analyst Certification, Important Disclosures and Research Analyst Affiliations.

ON.O: Fiscal year end 31-Dec						Price: US\$86.36; TP: US\$98.00; Market Cap: US\$33,621m; Recomm: Neutral					
Profit & Loss (US\$m)	2024	2025	2026E	2027E	2028E	Valuation ratios	2024	2025	2026E	2027E	2028E
Sales revenue	7,082	5,995	6,542	7,675	8,650	PE (x)	21.9	36.9	27.5	18.6	14.2
Cost of sales	-3,860	-3,691	-3,898	-4,297	-4,561	PB (x)	4.1	4.6	4.7	4.4	3.9
Gross profit	3,222	2,305	2,644	3,378	4,090	EV/EBITDA (x)	13.2	18.9	16.0	13.1	10.6
Gross Margin (%)	45.5	38.4	40.4	44.0	47.3	FCF yield (%)	3.2	4.0	3.5	4.4	6.3
EBITDA (Adj)	2,603	1,803	2,136	2,612	3,197	Dividend yield (%)	na	na	na	na	na
EBITDA Margin (Adj) (%)	36.8	30.1	32.7	34.0	37.0	Payout ratio (%)	0	0	0	0	0
Depreciation	-643	-686	-711	-527	-507	ROE (%)	18.8	1.4	11.2	23.1	28.0
Amortisation	0	0	0	0	0	Cashflow (US\$m)	2024	2025	2026E	2027E	2028E
EBIT (Adj)	1,960	1,117	1,425	2,085	2,690	EBITDA	2,603	1,803	2,136	2,612	3,197
EBIT Margin (Adj) (%)	27.7	18.6	21.8	27.2	31.1	Working capital	-382	493	-357	-344	-194
Net interest	58	34	41	40	40	Other	-314	-536	-349	-399	-490
Associates	0	0	0	0	0	Operating cashflow	1,906	1,760	1,430	1,869	2,513
Non-Op/Except/Other Adj	0	0	0	0	0	Capex	-706	-341	-227	-384	-433
Pre-tax profit	2,017	1,151	1,466	2,125	2,730	Net acq/disposals	-1,052	-892	59	0	0
Tax	-325	-185	-222	-319	-410	Other	749	695	-12	0	0
Extraord./Min.Int./Pref.div.	-134	-848	-416	-122	-122	Investing cashflow	-1,010	-539	-181	-384	-433
Reported net profit	1,559	118	829	1,684	2,199	Dividends paid	0	0	0	0	0
Net Margin (%)	22.0	2.0	12.7	21.9	25.4	Financing cashflow	-684	-1,764	-12	-1,379	-1,379
Core NPAT	1,691	963	1,242	1,804	2,319	Net change in cash	208	-543	1,237	107	702
Per share data	2024	2025	2026E	2027E	2028E	Free cashflow to s/holders	1,200	1,419	1,203	1,486	2,081
Reported EPS (\$)	3.64	0.29	2.10	4.34	5.79						
Core EPS (\$)	3.94	2.34	3.14	4.65	6.10						
DPS (\$)	0	0	0	0	0						
CFPS (\$)	4.45	4.27	3.62	4.82	6.61						
FCFPS (\$)	2.80	3.45	3.04	3.83	5.48						
BVPS (\$)	20.87	18.97	18.42	19.58	22.21						
Wtd avg ord shares (m)	421	404	388	381	373						
Wtd avg diluted shares (m)	429	412	395	388	380						
Growth rates	2024	2025	2026E	2027E	2028E						
Sales revenue (%)	-14.2	-15.3	9.1	17.3	12.7						
EBIT (Adj) (%)	-26.5	-43.0	27.6	46.3	29.0						
Core NPAT (%)	-25.1	-43.0	28.9	45.2	28.5						
Core EPS (%)	-23.5	-40.7	34.3	47.9	31.2						
Balance Sheet (US\$m)	2024	2025	2026E	2027E	2028E						
Cash & cash equiv.	2,991	2,548	3,736	3,843	4,545						
Accounts receivables	1,160	908	1,037	1,206	1,327						
Inventory	2,242	1,990	2,171	2,394	2,489						
Net fixed & other tangibles	5,492	4,677	4,075	3,931	3,857						
Goodwill & intangibles	1,846	2,024	2,017	2,017	2,017						
Financial & other assets	359	353	441	441	441						
Total assets	14,090	12,499	13,477	13,832	14,676						
Accounts payable	575	572	562	609	632						
Short-term debt	0	0	802	802	802						
Long-term debt	3,346	2,981	3,657	3,657	3,657						
Provisions & other liab	1,355	1,279	1,288	1,288	1,288						
Total liabilities	5,275	4,832	6,309	6,357	6,380						
Shareholders' equity	8,796	7,673	7,148	7,454	8,276						
Minority interests	18	19	20	20	20						
Total equity	8,815	7,692	7,167	7,474	8,296						
Net debt (Adj)	355	433	723	617	-85						
Net debt to equity (Adj) (%)	4.0	5.6	10.1	8.2	-1.0						

For definitions of the items in this table, please click [here](#).

2Q26 Earnings Review

4Q outlook above seasonal norms – Management expects 4Q revenue to grow 1–2%, above the typical flat to down 2% seasonal pattern. This outlook assumes utilization remains flat.

No inventory replenishment in Industrial/Auto yet – Management reiterated that they are currently shipping to demand and are not seeing evidence of restocking. Roughly 50% of industrial businesses had more secular tailwinds (energy storage, and infrastructure) was up 25% QoQ.

Utilization stable through year-end – After a step-up utilization rates, management expects utilization to be roughly flat to slightly higher in 3Q and generally stable through year-end. They indicated utilization would likely only move higher if 4Q revenue is up by more than 2% QoQ, and such a demand signal would need to emerge relatively quickly as cycle times are ~4–6 months.

Gross margin dynamics – Utilization changes affect gross margins with roughly a two-quarter lag. 2Q margins had a ~650 bp utilization-related headwind that was partially offset by favorable mix. Margins should continue to expand through fixed-cost leverage as revenue grows, even if utilization remains unchanged, with the benefit moderating only as utilization approaches the 92–93% range. 1 point increase in utilization leads to 20–30 bps increase in gross margins.

ON data center portfolio – ON data center business is balanced across high-voltage and low-voltage sockets. High-voltage design wins are concentrated in PSU applications with AWS and other hyperscalers, while low-voltage products address opportunities across both GPU vendors and cloud customers. ON is ramping across both high and low-voltage products. ON expects its SiC revenue in AI data center applications to grow nearly 60% YoY in 2026. ON expects its ESS revenue to grow 40% YoY in 2026 driven by higher YoY growth in NAM.

2027 gross margin drivers – ON expects ~\$35M of annualized savings from its fab-rightsizing initiatives, with benefits beginning in 2027 and fully realized in 2028, contributing roughly 50 bps of the targeted 200 bps gross margin improvement.

Lead times extending – Lead times stretched out from 27 weeks to 32 weeks. Book to bill > 1.

Capex and depreciation – ON took about 12% of capacity offline. ON expects maintenance capex to be below 5% of revenue in 2026. Current depreciation expense now is at steady state.

Data center market: ON's content per rack is increasing from \$15k in 125kW rack to \$115k for 1MW racks. Today, high voltage: low-voltage sockets account for 30%:70% of the market but will shift to 50%:50% with 800VDC adoption.

Auto SiC Revenue – ON expects its SiC revenue in EV to increase 60–70% YoY driven by market share gains and programs ramp across existing platforms and new vehicle launches. In China, ON's Auto revenue was up 13% YoY in 1H26, well above 4% decline in total vehicle driven by higher content per vehicle like Geely, Zeekr and Xiaomi.

Regional strength across end markets – Within Auto and Industrial end markets, China drove majority of the strength, followed by US and Europe. Within AI data

center, demand from US was the strongest, followed by China and some AI halo effect from Europe.

2Q26 end market trends - 2% QoQ decline in Auto was driven by specific customer seasonality in Europe offset by strength in China. Industrial was up 1% QoQ driven by strength in energy, infrastructure, medical and factory automation.

2Q26 revenue from AI Data Center:

Figure 1. ON Semi 2Q26 End-Market QoQ Growth

	QoQ Guidance	Prior Citi	Actual	BEAT/MISS/ INLINE
Automotive	Flat QoQ	0%	-2%	Miss
Industrial	Up mid-single digit QoQ	+5%	+1%	Miss
Others	Up mid-teens QoQ	+17%	+34%	Beat

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Source: Citi Research, FactSet

3Q26 end market guidance:

Figure 2. ON Semi 3Q26 End-Market QoQ Guidance and Citi's Estimates

	% Revenue	QoQ Guidance	Citi
Automotive	49%	Up low-single digit QoQ	+4%
Industrial	26%	Flat QoQ	+2%
Others	25%	Up high-teens QoQ	+22%

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Source: Citi Research, FactSet

Figure 3. 2Q26 and 3Q26 Estimate Changes

	Old	New		Old	New	
FY end: December	2Q26	2Q26	Delta	3Q26E	3Q26E	Delta
Total Revenue	1,600.0	1,603.5	0%	1,700.0	1,700.0	0%
% Change Y/Y	8.9%	9.2%		9.6%	9.6%	
% Change Q/Q	5.7%	6.0%		6.3%	6.0%	
Cost of Sales	976.0	972.6	(0.0)	1,011.5	994.5	(0.0)
Gross Margins	39.0%	39.3%	35 bps	40.3%	41.5%	100 bps
SG&A	147.2	165.2	12.2%	149.6	153.0	2.3%
% Total Revenue	9.2%	10.3%	110 bps	8.8%	9.0%	20 bps
R&D	140.8	140.8	0.0%	153.0	153.0	0.0%
% Total Revenue	8.8%	8.8%	-2 bps	9.0%	9.0%	0 bps
Operating Income	336.0	334.1	-0.6%	385.9	399.5	3.5%
% Total Revenue	21.0%	20.8%	-16 bps	22.7%	23.5%	80 bps
Tax Rate	15.0%	15.0%	-0.1%	15.0%	15.0%	0.0%
Net Income attributable to ON Semi	280.0	293.8	5%	335.2	347.6	4%
% Total Revenue	17.5%	18.3%	0 bps	19.7%	20.4%	0 bps
No. of Common Shares	394.0	397.0	1%	392.0	395.0	1%
EPS incl. options, ex-amort/restr.	\$0.71	\$0.74	4%	\$0.86	\$0.88	3%
% Change Y/Y	33.2%	38.7%		36.1%	40.1%	
% Change Q/Q	11.2%	15.8%		20.3%	18.9%	
EPS ex-options, ex-amort/restr.	\$0.81	\$0.83	4%	\$0.95	\$0.97	3%
% Change Y/Y	30.7%	35.4%		31.6%	35.0%	
% Change Q/Q	9.8%	13.8%		18.0%	16.8%	

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Source: Citi Research

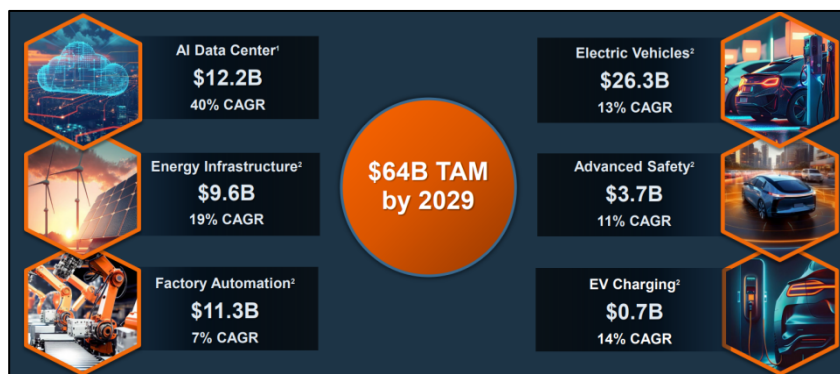
Figure 4. C26/C27/C28 Estimate Changes

	Old	New		Old	New		Old	New	
FY end: December	C26E	C26E	Delta	C27E	C27E	Delta	C28E	C28E	Delta
Total Revenue	6,513.3	6,541.8	0%	7,500.0	7,675.0	2%	8,300.0	8,650.0	4%
% Change Y/Y	8.6%	9.1%		15.1%	17.3%		10.7%	12.7%	
% Change Q/Q				0.0%	0.0%		0.0%	0.0%	
Cost of Sales	3,920.5	3,897.6	(0.0)	4,172.0	4,296.8	0.0	4,267.0	4,560.5	0.1
Gross Margins	39.8%	40.4%	61 bps	44.4%	44.0%	-36 bps	48.6%	47.3%	-131 bps
SG&A	598.8	625.9	4.5%	645.0	661.8	2.6%	715.0	707.3	-1.1%
% Total Revenue	9.2%	9.6%	37 bps	8.6%	8.6%	2 bps	8.6%	8.2%	-44 bps
R&D	591.1	593.4	0.4%	620.6	631.8	1.8%	694.5	691.9	-0.4%
% Total Revenue	9.1%	9.1%	-1 bps	8.3%	8.2%	-4 bps	8.4%	8.0%	-37 bps
Operating Income	1402.9	1425.0	1.6%	2062.4	2084.8	1.1%	2623.5	2690.3	2.5%
% Total Revenue	21.5%	21.8%	24 bps	27.5%	27.2%	-34 bps	31.6%	31.1%	-51 bps
Tax Rate	15.0%	15.1%	0.6%	15.0%	15.0%	0.0%	15.0%	15.0%	0.0%
Net Income attributable to ON Sem	1,207.7	1,242.2	3%	1,785.0	1,804.0	1%	2,262.0	2,318.8	3%
% Total Revenue	18.5%	19.0%	0 bps	23.8%	23.5%	0 bps	27.3%	26.8%	0 bps
No. of Common Shares	393.0	395.3	1%	385.0	388.0	1%	377.0	380.0	1%
EPS incl. options, ex-amort/restr.	\$3.07	\$3.14	2%	\$4.64	\$4.65	0%	\$6.00	\$6.10	2%
% Change Y/Y	31.3%	34.3%		50.9%	47.9%		29.4%	31.2%	
% Change Q/Q				0.0%	0.0%		0.0%	0.0%	
EPS ex-options, ex-amort/restr.	\$3.45	\$3.52	2%	\$5.02	\$5.04	0%	\$6.40	\$6.50	2%
% Change Y/Y	28.3%	30.9%		45.5%	43.0%		27.3%	29.0%	
% Change Q/Q									

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Source: Citi Research

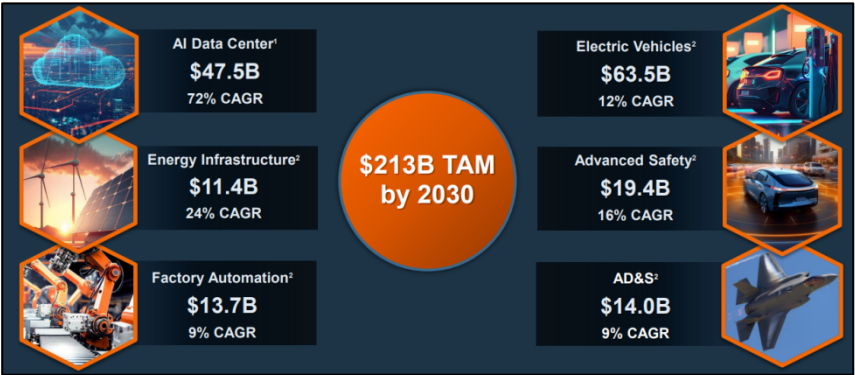
Figure 5. ON Semi TAM (May 2026)



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Source: Citi Research, ONSemi

Figure 6. ON Semi TAM (Aug 2026)



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Source: Citi Research, Onsemi

Catalyst Watch on ON Semiconductor (ON.O)

Direction:	Upside
Duration:	Within 90 Days (expires 13 Sep 2026)
Date Added:	15 Jun 2026
Catalyst:	Mgmt announcement

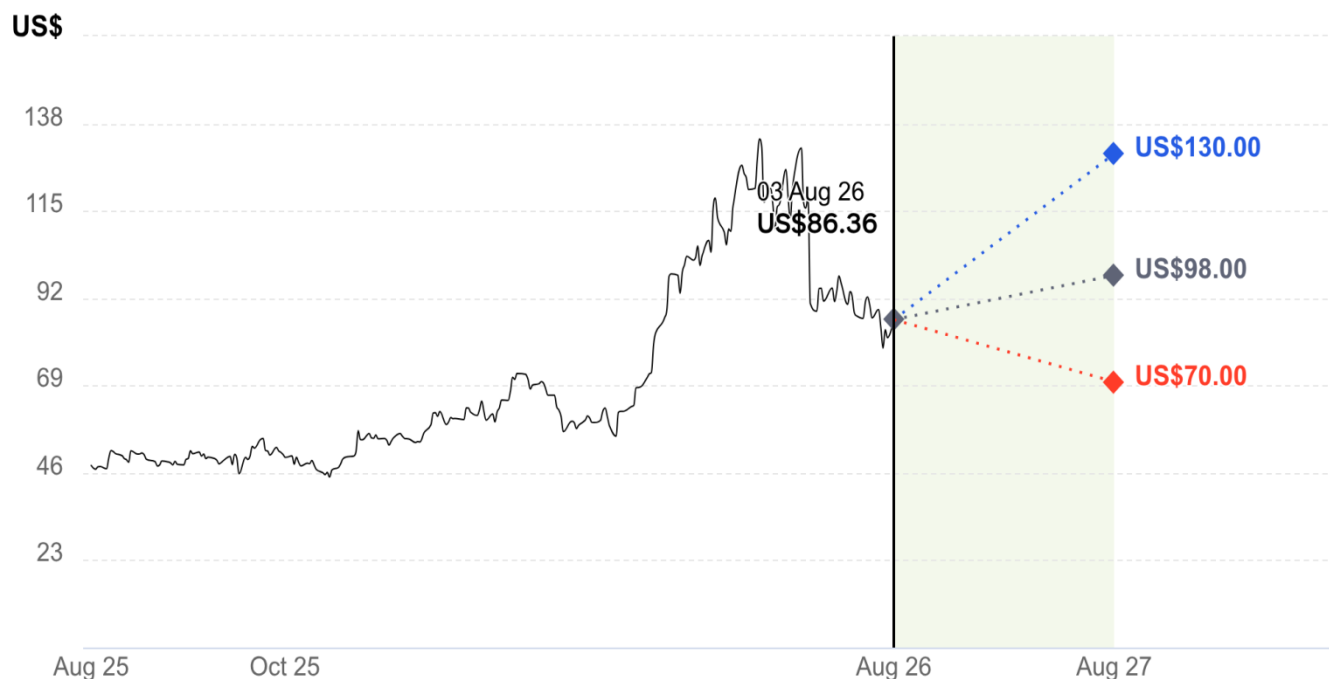
We have an upside Catalyst Watch on ON Semi ahead of its Analyst Day in September, where we expect a higher target model driven by its power portfolio and renewed momentum in its silicon carbide (SiC) business from the 800V DC transition.

Bull/Bear: ON Semiconductor (ON.O)

US\$ **130.00**
▲ 51% Upside

US\$ **98.00**
▲ 13% Upside

US\$ **70.00**
▼ 19% Downside



Spread 69pp
Current Price and expected returns (upside/downside) as of 03 Aug 2026

BULL Assumptions

- Better-than-expected demand and margin expansion
- Multiple expansion

BASE Assumptions

- 16X C28E EPS

BEAR Assumptions

- Correction in the auto and industrial end markets
- Multiple compression

ON Semiconductor

Company description

ON Semiconductor is a diversified semiconductor company focused on energy efficient electronics in automotive, industrial, PC, computing, consumer, and handset applications. ON has a broad product portfolio that includes application products such as power converters, switches, light sensors, ASICs, ASSPs, and RF tuners as well as standard discrete components such as power MOSFETs, LED drivers, diodes, and transistors. The company is based in Phoenix, Arizona and operates wafer fabrication facilities in the U.S., Japan, Malaysia, Czech Republic, and Belgium. ON also operates back-end assembly/test facilities in Canada, China, Malaysia, Philippines, Vietnam, and Japan.

Investment strategy

We are Neutral rated on ON Semi as the Auto demand remains mixed.

Valuation

Our target price for ON Semi is \$98 based on 16X P/E on C28 EPS, roughly in line with the company's three-year average.

Risks

M&A Accretion: If ON fails to achieve margin/EPS accretion from its recent acquisitions, it could result in downside to our estimates. Similarly, if margins from the Sanyo Semi (SSG) unit decline, it could result in downside to our EPS estimates.

End Market: ON Semi derives more than 50% of sales from the Automotive end market. Therefore, any major uptick/downtick in automotive production could result in upside/downside to our estimates and target price for ON.

Competition: Any fluctuations in the multi-market analog and discrete component segments between ON Semi and its competitors could result in risk to our estimates.

Inventory Risk: ON sells roughly 55% of its products through distribution. As a result, we believe any major inventory corrections in the distribution channel could result in downside risk to our estimates.

Semiconductor Cycle: ON has broad-based exposure across multiple products and end markets. Therefore, if the overall semiconductor market enters a downturn, it could result in downside to our estimates.

Macroeconomic: ON Semi's geographic exposure spans multiple geographies

including the U.S., Europe, and Asia. As a result, any prolonged macroeconomic downturn/upturn could result in downside/upside to our estimates and target price.

If the impact from the above risks turns out to be greater/less than we expect, the shares could fail to achieve/exceed our target price.

If you are visually impaired and would like to speak to a Citi representative regarding the details of the graphics in this document, please call USA 1-888-500-5008 (TTY: 711), from outside the US +1-210-677-3788

Appendix A-1

ANALYST CERTIFICATION

The research analysts primarily responsible for the preparation and content of this research report are either (i) designated by “AC” in the author block or (ii) listed in bold alongside content which is attributable to that analyst. If multiple AC analysts are designated in the author block, each analyst is certifying with respect to the entire research report other than (a) content attributable to another AC certifying analyst listed in bold alongside the content and (b) views expressed solely with respect to a specific issuer which are attributable to another AC certifying analyst identified in the price charts or rating history tables for that issuer shown below. Each of these analysts certify, with respect to the sections of the report for which they are responsible: (1) that the views expressed therein accurately reflect their personal views about each issuer and security referenced and were prepared in an independent manner, including with respect to Citigroup Global Markets Inc. and its affiliates; and (2) no part of the research analyst's compensation was, is, or will be, directly or indirectly, related to the specific recommendations or views expressed by that research analyst in this report.

IMPORTANT DISCLOSURES

ON Semiconductor (ON)
Ratings and Target Price History
Fundamental Research

Analyst: Atif Malik



	Date	Rating	Target Price	Closing Price
1	30-Oct-23 18:36:13	1	*\$5.00	65.34
2	15-Jul-24 07:16:26	*2	*\$7.00	76.37
3	11-Feb-25 03:00:00	2	*\$2.00	47.93
4	11-Apr-25 07:12:27	2	*\$40.00	35.08

	Date	Rating	Target Price	Closing Price
5	07-Jul-25 03:00:00	2	*\$60.00	54.61
6	04-Aug-25 16:20:47	2	*\$4.00	47.97
7	15-Jan-26 07:24:43	2	*\$66.00	60.28
8	09-Feb-26 23:09:58	2	*\$68.00	65.10

	Date	Rating	Target Price	Closing Price
9	05-May-26 09:56:23	2	*\$100.00	102.67
10	15-Jun-26 03:07:19	2	*\$120.00	125.90

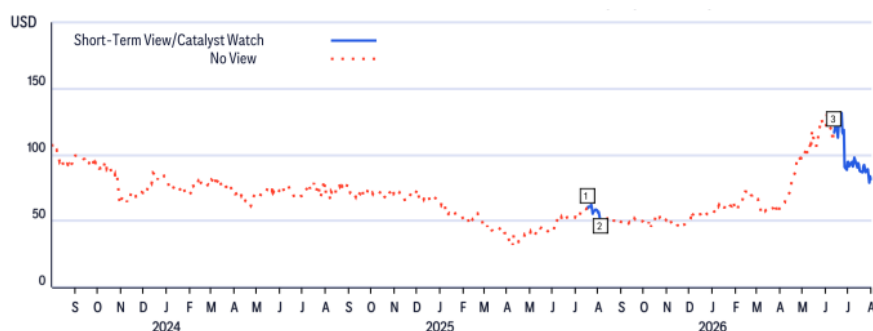
*Indicates Change

Rating/target price changes above reflect Eastern Time

ON Semiconductor (ON)

Short-Term View/Catalyst Watch Research

Analyst: Atif Malik



1	Date	Action	Expected Direction	Duration	Closing Price	2	Date	Action	Expected Direction	Duration	Closing Price	3	Date	Action	Expected Direction	Duration	Closing Price
1	17-Jul-25 23:00:00	Add STV	Downside	30 Days	59.41	2	04-Aug-25 12:20:47	Remove STV	Downside	30 Days	47.97	3	14-Jun-26 23:07:19	Add CW	Upside	90 Days	116.79

CW - Catalyst Watch, STV - Short-Term View

Rating/target price changes above reflect Eastern Time

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